

Lecture 3: Ordinary Least Squares

Jeremy Majerovitz (University of Notre Dame)

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OLS Line and Residuals

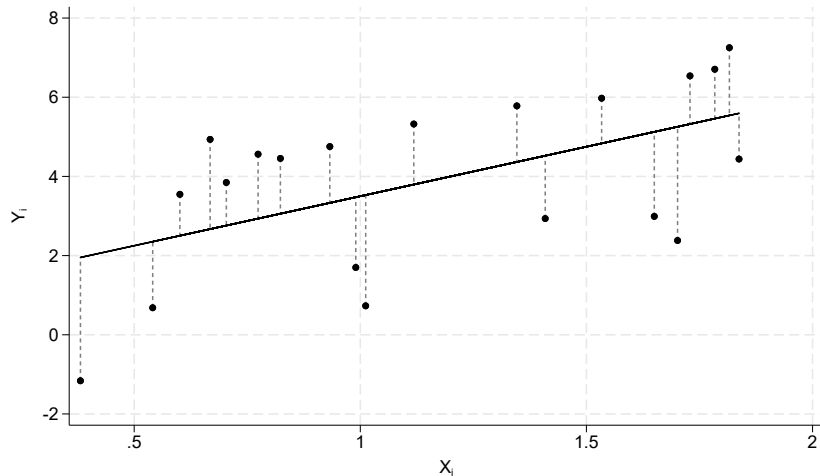


Figure 1: Visual Representation of Ordinary Least Squares

Orthogonality Conditions Pin Down OLS Slope and Intercept

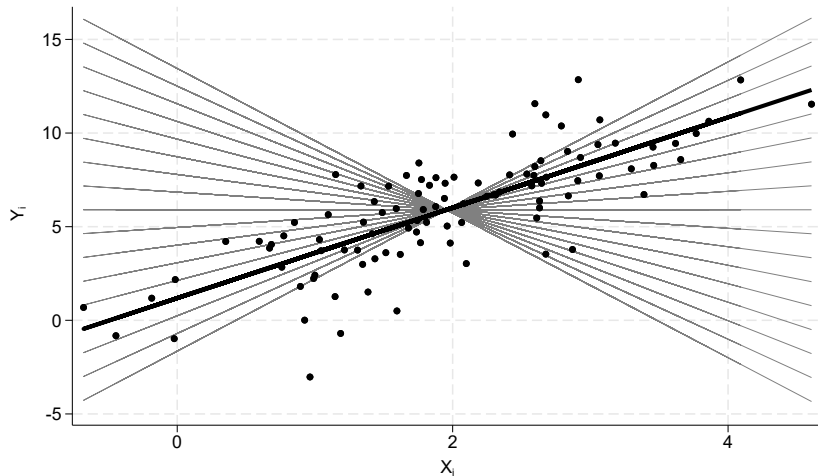


Figure 2: Why Do Orthogonality Conditions Pin Down OLS?